

HR COMPLIANCE TOOLKIT — 2026 EDITION

RemoteReady Audit Kit

Distributed Team Labor Law Audit Checklists

Your Complete Guide to Multi-State Remote Team Compliance

- State-by-state compliance checklists for 10 major remote-hiring jurisdictions
- 2026 Trigger Alert Map with 20+ real regulatory changes & effective dates
- 15-minute Weekly Internal Audit Template — ready to use immediately
- Federal vs. State law hierarchy quick-reference guide
- Comprehensive glossary of key compliance terms

2026 EDITION — CURRENT AS OF MAY 2026

For HR Professionals Managing Distributed & Remote Teams

This kit is an informational reference. Consult qualified legal counsel for specific situations.

Jurisdictions Covered

CA • NY • WA • TX • FL
IL • CO • OR • MA • NJ

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Section 1: Executive Overview

The Multi-State Compliance Pain Point

The explosive growth of distributed and remote work has fundamentally changed the operational landscape for HR professionals. Where a single company once managed employees under one roof and one set of rules, that same company now routinely employs workers scattered across a dozen or more states—each with its own distinct, and often complex, web of labor laws.

For the average HR generalist or payroll manager, this creates an almost impossible challenge. You are expected to track real-time minimum wage increases in California, monitor new paid leave mandates in Colorado, ensure pay transparency disclosures appear in every Washington State job posting, and maintain proper overtime calculations for New York employees—all simultaneously, alongside your regular duties.

The problem is not a lack of diligence. It is a lack of a systematic, centralized, and current compliance framework. Labor laws change constantly. States introduce new protections, raise wage floors, mandate new leave benefits, and impose requirements around emerging technologies like artificial intelligence in hiring. The volume and velocity of change have outpaced informal tracking methods, spreadsheets, and annual policy reviews.

The Scale of the Challenge

As of 2026, at least **48 state-specific HR compliance changes** are in effect or scheduled for the year. HR teams managing remote workers across just five states must monitor the intersection of federal law plus five separate state frameworks—creating potentially hundreds of individual compliance checkpoints.

The most common failure modes seen in distributed teams include:

- **Minimum wage miscalculation** — applying one state's rate to employees in a higher-minimum-wage state or failing to account for city-level overrides
- **Overtime miscalculation** — treating California employees under the federal 40-hour-weekly standard rather than California's stricter daily overtime rule
- **Missing leave notifications** — failing to inform employees about newly available state paid leave programs at hire or upon qualifying events
- **Exempt classification errors** — using a single federal salary threshold for exempt classification when state thresholds are dramatically higher
- **Electronic notice failures** — not distributing legally mandated labor law posters and notices to fully remote employees
- **Expense reimbursement gaps** — ignoring state-specific mandates (particularly in California and Illinois) requiring reimbursement of remote work expenses
- **Pay transparency non-disclosure** — posting job listings without salary ranges required by CO, WA, MA, NY, and NJ law

The Real Cost of Non-Compliance

Non-compliance with multi-state labor laws is not merely an administrative inconvenience. It carries significant financial, legal, and reputational risk. The exposure is asymmetric: the cost of establishing a compliant system is modest, while the cost of a single enforcement action, class action lawsuit, or agency audit can be devastating.

Violation Type	Potential Exposure	Key States at Risk
Wage theft / minimum wage underpayment	Back pay + liquidated damages + attorney fees + civil penalties up to \$10,000/violation	CA, NY, WA, NJ, IL
Overtime miscalculation (daily OT)	Back pay for up to 3 years + double damages in CA + class action exposure	CA (highest risk)
Paid sick leave non-compliance	500–10,000 per violation; reinstatement + lost wages	CA, NY, WA, CO, OR, MA, NJ
Paid family leave non-compliance	Civil penalties + employee lawsuits + DFEH/DOL complaints	CA, NY, WA, CO, MA, NJ
Pay transparency violations	500–10,000 per job posting violation (CO); growing exposure in WA, MA, NY	CO, WA, MA, NY, NJ
Employee misclassification (IC vs. employee)	Back taxes, back benefits, WARN Act liability; NJ fines up to \$250K	CA, NJ, WA, MA, IL
Labor law poster/notice violations	Federal fines up to \$33,872 per violation (OSHA); state penalties vary	All states
AI-in-hiring discrimination	Emerging exposure; civil rights complaints, potential agency enforcement	IL, TX, NY (proposed)

Beyond direct financial penalties, employers also face reputational damage, employee turnover driven by perceived unfairness, difficulty attracting talent in competitive markets, and the significant internal cost of reactive remediation after an audit or complaint—which is consistently more expensive than proactive compliance.

Class Action Risk Is Growing

Wage and hour class action lawsuits are among the most common employment litigation in the U.S. A single payroll calculation error applied uniformly to dozens of remote workers can create collective liability that quickly reaches six or seven figures. Private right of action laws in states like California, New York, and New Jersey make it particularly easy for employees to bring claims without first filing with a government agency.

How This Kit Solves the Problem

The **RemoteReady Audit Kit** was designed by and for HR practitioners who face real-world constraints: limited time, limited legal budget, and an expanding roster of remote employees across multiple jurisdictions. The kit provides three core tools to transform your compliance posture:

1. The Jurisdiction Matrix consolidates 2026-current compliance requirements for the ten most common remote-hiring states into a standardized, checklist-driven format. Instead of researching each state independently every time you hire, onboard, or process payroll, you have an authoritative single-source reference. Each state section includes wage law snapshots, leave law summaries, remote-work-specific obligations, and audit verification checklists you can complete, initial, and file.

2. The 2026 Trigger Alert Map is a forward-looking compliance calendar. It lists over 20 confirmed regulatory changes—new laws, effective date updates, wage increases, and expanded leave benefits—scheduled to take effect at various points throughout 2026. Use it in your quarterly planning cycle to anticipate what's coming and build change into your processes before, not after, the effective date.

3. The Weekly Internal Audit Template provides a structured 15-minute verification routine for your payroll or HR team. Weekly micro-audits catch drift before it becomes liability. The template is designed to be printed, completed by hand or digitally, signed off, and retained in your compliance file as documentation of ongoing due diligence—a defense that courts and agencies consistently reward.

Legal Disclaimer

This kit is an informational reference tool designed to help HR practitioners organize and accelerate their compliance review process. It does not constitute legal advice. Labor laws change frequently. Always consult qualified employment counsel before making final compliance decisions, particularly when facing a specific employee dispute, agency investigation, or significant policy change.

Section 2: How to Use This Kit

Implementation Roadmap

Follow these four phases to implement the RemoteReady Audit Kit within your organization:

Phase 1 — Initial Setup (Week 1)

Begin by building your jurisdiction inventory. List every state in which you currently have an employee working remotely, regardless of where the company is headquartered. The key rule: *labor laws follow the employee's work location, not the employer's address*. Pull this data from your HRIS, payroll system, or a direct HR survey.

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| ☐ Generate a complete list of all employee work-state locations | ☐ Confirm each employee's physical home-state work address is in payroll system |
| ☐ Identify which states in this kit apply to your workforce | ☐ Flag any states where you have 1 or more employees (even just 1 triggers most laws) |
| ☐ Assign a primary "compliance owner" for each active jurisdiction | ☐ Share the 2026 Trigger Alert Map with your payroll team |

Phase 2 — Baseline Audit (Weeks 2-3)

Using the Jurisdiction Matrix for each of your active states, conduct a full baseline audit. Work through every checklist item, marking "compliant," "non-compliant," or "unknown/needs research." Document your findings. Any item marked non-compliant or unknown should be escalated to legal counsel or a senior HR decision-maker.

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| ☐ Complete full checklist for each active state jurisdiction | ☐ Cross-reference current payroll settings against state minimum wages |
| ☐ Verify overtime rules are correctly configured (especially CA daily overtime) | ☐ Confirm exempt salary thresholds meet state (not just federal) minimums |
| ☐ Audit leave accrual policies against each applicable state mandate | ☐ Verify electronic labor law posters have been distributed to remote employees |
| ☐ Document all non-compliant findings with remediation plan and timeline | |

Phase 3 — Remediation (Weeks 3-6)

Address all identified gaps. Remediation typically involves payroll system updates, policy revisions, employee notifications, and retroactive corrections where required. For significant compliance gaps (e.g., systematic wage underpayment), involve legal counsel to assess exposure and manage risk.

Phase 4 — Ongoing Maintenance (Weekly, Quarterly, Annually)

Compliance is not a one-time event. Use the Weekly Internal Audit Template for ongoing verification. Conduct a full matrix review each quarter. Revisit the Trigger Alert Map monthly during 2026 to prepare for upcoming effective dates.

Cadence	Activity	Tool to Use	Time Required
Weekly	Payroll verification, leave accrual spot-check, new hire check	Weekly Audit Template (Section 5)	15 minutes
Monthly	Review Trigger Alert Map for upcoming effective dates	Section 4 — Trigger Alert Map	20 minutes
Quarterly	Full jurisdiction matrix review for active states	Section 3 — Jurisdiction Matrix	2–3 hours
Annually	Full kit refresh, new hire state review, policy updates	Full kit + legal review	Full day + counsel
On trigger event	New state hire, regulation change, employee complaint, or agency inquiry	Relevant state section + counsel	Variable

Reading the Jurisdiction Matrix

Each state section in the Jurisdiction Matrix is organized into five subsections:

1. **Key Wage Laws** — Current minimum wage, overtime rules, and exempt salary thresholds
2. **Pay Requirements** — Pay frequency mandates and final pay rules
3. **Mandatory Leave Policies** — Required paid and unpaid leave programs
4. **Remote Work Specific Regulations** — Laws that specifically affect or uniquely apply to remote workers
5. **Audit Checklist & Common Pitfalls** — Actionable verification items and the mistakes HR teams most commonly make

Using the Checklists

Each checklist item is designed to be verified by a specific person (payroll manager, HR generalist, or legal counsel). Print the checklist for the relevant state, work through each item, check the box when verified, initial and date the page, and file it in your compliance records. In the event of an audit or dispute, completed checklists are strong evidence of good-faith compliance efforts.

Section 3: Jurisdiction Compliance Matrix

All data current as of May 2026. Wage rates and thresholds subject to annual adjustment. Verify against official state agency sources before making compliance decisions.

California

CA

1. Key Wage Laws

Metric	2026 Rate / Rule	Notes
State Minimum Wage	\$16.90/hr	Statewide; some cities higher (e.g., West Hollywood \$20.25)
Overtime — Weekly	1.5x after 40 hrs/week	Plus double time after 12 hrs in a day
Overtime — Daily	1.5x after 8 hrs/day; 2x after 12 hrs/day	CA unique: daily OT is a major compliance trap
7th Consecutive Day	1.5x for first 8 hrs; 2x thereafter	Applies regardless of weekly hours
Exempt Salary Threshold	\$70,304/year (\$1,352/week)	Must ALSO meet duties test
Pay Frequency	At least twice monthly (semi-monthly)	1st–15th paid by 26th; 16th–EOM paid by 10th following month

2. Mandatory Leave Policies

Leave Type	Entitlement	Key Details
Paid Sick Leave	Accrues 1 hr / 30 hrs worked; 40 hrs/yr cap	Expanded 2026: covers crime victims attending judicial proceedings
Paid Family Leave (PFL)	Up to 8 weeks partial pay	Via EDD; covers bonding, care for family member
CA Family Rights Act (CFRA)	Up to 12 weeks unpaid/job-protected	Employers with 5+ employees; broader than federal FMLA
Pregnancy Disability Leave (PDL)	Up to 4 months	Separate from CFRA; 5+ employee employers
Bereavement Leave	5 days for qualifying family deaths	Partially paid depending on employer policy; 5+ employees

3. Remote Work Specific Regulations

- **Expense Reimbursement (Labor Code §2802):** Mandatory reimbursement for ALL necessary business expenses. For remote workers: home internet, work-related cell/phone use, office supplies. Failure is a wage claim, not a policy dispute.
- **Electronic Notices:** Must electronically distribute all required CA and federal labor law posters to fully remote employees. Use a documented delivery system (email with read receipt, HR portal with login confirmation).
- **AB 692 — Training Repayment:** Effective January 1, 2026. Employers may not require employees to repay training costs or relocation expenses if employment ends before a set date ("stay-or-pay" clauses are void).
- **SB 294 — Workplace Know Your Rights Act:** Annual written notice of worker rights required by February 1 each year to all employees.
- **Pay Data Reporting:** Penalties for non-compliance with annual pay data reporting to the CA Civil Rights Department are now mandatory. Deadlines are set annually.

4. Audit Verification Checklist

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| ☐ Minimum wage confirmed at \$16.90/hr (or higher if in a high-wage city) | ☐ Payroll system programmed for daily overtime (8/12 hr thresholds) |
| ☐ 7th-consecutive-day rule configured in timekeeping system | ☐ All exempt employees earn at least 70,304/year (1,352/week) |
| ☐ Pay dates comply with 1st–15th and 16th–EOM rules | ☐ Remote expense reimbursement policy in place and being honored |
| ☐ Electronic labor law posters distributed and documented | ☐ No "stay-or-pay" training repayment clauses in any contracts (post-Jan 2026) |
| ☐ Annual "Know Your Rights" notice sent to all CA employees by Feb 1 | ☐ Pay data report submitted to CA Civil Rights Dept by deadline |
| ☐ Sick leave accrual system active (1 hr / 30 hrs worked) | ☐ PFL enrollment info provided to eligible employees at hire |

Common CA Compliance Pitfalls

- **Daily overtime trap:** Companies headquartered outside CA routinely miss daily OT and apply only the federal 40-hour rule to CA remote workers. This creates immediate back-pay liability.
- **Exempt threshold:** The CA threshold (\$70,304) is exactly double the state minimum wage — it adjusts every time the minimum wage increases. Monitor both together.
- **Expense reimbursement:** Not providing a written expense reimbursement policy that covers remote work costs is among the most common HR violations cited by the CA Labor Commissioner.

1. Key Wage Laws

Metric	2026 Rate / Rule	Notes
Minimum Wage (NYC, Long Island, Westchester)	\$17.00/hr	Effective Jan 1, 2026
Minimum Wage (Rest of State)	\$16.00/hr	Statewide rate outside downstate region
Overtime	1.5x after 40 hrs/week	FLSA standard; no daily OT rule
Exempt Threshold (Downstate)	\$66,300/year	NYC, Long Island, Westchester
Exempt Threshold (Rest of State)	\$62,353.20/year	Higher than federal \$58,656
Pay Frequency — Manual Workers	Weekly	Strict requirement; deviations require Dept. of Labor approval
Pay Frequency — Other Workers	At least semi-monthly	Clerical, professional employees

2. Mandatory Leave Policies

Leave Type	Entitlement	Key Details
Paid Sick Leave (State)	1 hr / 30 hrs worked; up to 56 hrs/yr (100+ employees)	40 hrs for employers with 5–99 employees
NYC ESSTA (Effective Feb 22, 2026)	Additional 32 hrs unpaid leave/yr	New bank separate from paid leave; expanded use reasons
NY Paid Family Leave (PFL)	Up to 12 weeks job-protected paid leave	Bonding, family care, military exigency
NY FMLA equivalent	12 weeks unpaid (federal FMLA applies)	NY PFL runs concurrently with FMLA where applicable
Prenatal Leave (NYC)	20 hours paid leave for prenatal appointments	NYC-specific, effective 2025; employers 4+ employees

3. Remote Work Specific Regulations

- **"Trapped at Work Act"**: Prohibits requiring employees to repay training costs upon resignation before a specified date. Mirrors California's AB 692. Void and unenforceable.

- **Prohibition on Credit History in Employment:** Employers may not request or use consumer credit history for employment decisions (state law).
- **NYC Pay Data Reporting:** Large NYC private employers (200+ employees) will be required to submit annual anonymous pay equity data. Rules being finalized — monitor NYC Commission on Human Rights.
- **Notice Distribution:** Employers must maintain updated employee handbooks reflecting remote work policies. NY HERO Act still requires airborne illness exposure prevention plans accessible to all employees including remote staff.
- **Pay Transparency:** NY requires salary range disclosure in all job postings. Failure per-posting can result in fines.

4. Audit Verification Checklist

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| ☐ Correct regional minimum wage applied (17 downstate ,16 elsewhere) | ☐ Manual workers on weekly payroll (or DOL approval obtained) |
| ☐ Exempt thresholds verified by region (66,300 or 62,353.20) | ☐ NY PFL payroll deductions properly calculated and remitted |
| ☐ NYC ESSTA 32-hr unpaid bank added (effective Feb 22, 2026) | ☐ No training repayment/stay-or-pay clauses in NY contracts |
| ☐ No credit history inquiries in hiring process | ☐ Salary ranges included in all NY-visible job postings |
| ☐ HERO Act prevention plan current and accessible to remote staff | ☐ Employee handbook reflects current NY remote work policy |

Common NY Compliance Pitfalls

- **Manual worker weekly pay:** Many employers don't realize that job titles classified as "manual" (delivery, production, warehouse roles) require weekly pay even if they are technically remote. Failure is a direct wage violation.
- **Regional wage tiers:** An employee moving from Buffalo to Brooklyn triggers a minimum wage change employers are responsible for tracking.
- **ESSTA Feb 2026 update:** The new 32-hour unpaid leave bank is entirely separate from the existing paid sick bank. Systems that merge them together are non-compliant.

1. Key Wage Laws

Metric	2026 Rate / Rule	Notes
State Minimum Wage	\$17.13/hr	Among the highest in the U.S.
Overtime	1.5x after 40 hrs/week	FLSA standard applies
Exempt Salary Threshold	\$80,168.40/year	Significantly higher than federal; 1.75x state minimum wage
Pay Frequency	At least monthly	More frequent is permissible and common

2. Mandatory Leave Policies

Leave Type	Entitlement	Key Details
Paid Family & Medical Leave (PFML)	Up to 12 weeks (+ 2 weeks pregnancy) paid	Job protection now at 180 days employment for 25+ ee employers (2026); min claim now 4 hrs
Paid Sick Leave	1 hr / 40 hrs worked	No annual cap on accrual; carries over year to year
Domestic Violence Leave	Reasonable unpaid leave	Expanded 2026 to cover hate crime victims and family members

3. Remote Work Specific Regulations

- **Pay Transparency (EPOA):** All employers with at least ONE WA employee must include the full wage scale (or range), benefits description, and application deadline in every job posting—including fully remote positions where the worker could be WA-based. Recent court litigation has increased enforcement risk significantly.
- **Isolated Worker Safety:** New 2026 rules require "panic buttons" and safety protocols for "isolated employees" in certain industries. Review whether any remote roles qualify under these definitions.
- **Electronic Notice Distribution:** WA requires all mandatory labor law posters accessible electronically for remote staff. Post on a company intranet or distribute via email with confirmation.

4. Audit Verification Checklist

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| ☐ Minimum wage confirmed at \$17.13/hr or higher | ☐ Exempt salary threshold verified at \$80,168.40/year |
| ☐ PFML contributions deducted and remitted correctly | ☐ PFML job protection rule updated for 180-day threshold |
| ☐ Wage range & benefits included in all WA job postings | ☐ Paid sick leave accruing at 1 hr / 40 hrs with no cap |
| ☐ Hate crime victims included in DV leave policy | ☐ Electronic labor law posters distributed and documented |

Common WA Compliance Pitfalls

- **Exempt threshold oversight:** At 80,168.40, *WA's exempt salary threshold is nearly 22,000* higher than the federal level. Out-of-state employers frequently apply the federal threshold and inadvertently reclassify WA workers as non-exempt.
- **Remote job posting loophole:** Employers have tried excluding WA from pay transparency requirements on fully remote postings. Courts have rejected this. If a WA resident could apply, the range must be disclosed.

1. Key Wage Laws

Metric	2026 Rate / Rule	Notes
State Minimum Wage	\$7.25/hr (federal)	Texas adopts federal rate; no state premium
Overtime	1.5x after 40 hrs/week	FLSA standard; no daily OT rule
Exempt Salary Threshold	\$58,656/year (federal)	Texas follows federal EAP threshold
Pay Frequency	At least semi-monthly (twice/month)	Exempt employees may be paid monthly

2. Mandatory Leave Policies

Leave Type	Entitlement	Key Details
Paid Sick Leave	No state mandate	No private employer mandate; check local ordinances (Austin, Dallas ordinances were struck down)
Family Leave	Federal FMLA only (12 weeks unpaid)	No state-supplemental paid family leave program
Jury Duty Leave	Required (unpaid)	Employer must allow and cannot retaliate
Voting Leave	Required (paid up to 2 hrs)	Must grant sufficient time to vote

3. Remote Work Specific Regulations

- **No State Income Tax:** TX has no personal income tax. Payroll withholding is simpler. However, federal payroll taxes (FICA, FUTA) still apply, and employers may still have TX franchise tax exposure.
- **Responsible AI Governance Act (HB 149):** Effective January 1, 2026. Prohibits intentional use of AI systems to unlawfully discriminate in employment decisions based on protected classes. HR must audit any AI tools used in screening, hiring, or performance management.
- **Workers' Compensation:** TX is the only state where workers' compensation is not mandatory for most private employers. Verify your coverage status. Remote workers are still covered for work-related injuries if you have a policy.
- **Non-Compete Agreements:** Valid and enforceable in TX if they protect a legitimate business interest and are reasonable in scope, geography, and duration.
- **Electronic Notices:** For remote employees, federal law permits electronic distribution of required notices.

4. Audit Verification Checklist

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| ☐ Minimum wage at or above federal \$7.25/hr | ☐ Semi-monthly pay frequency maintained for all non-exempt workers |
| ☐ FMLA administration in place for eligible TX employees | ☐ AI hiring/screening tools audited for HB 149 compliance |
| ☐ Workers' compensation coverage confirmed for remote workers | ☐ Non-compete agreements reviewed for reasonableness |
| ☐ Federal labor law posters distributed electronically to remote staff | ☐ Jury duty and voting leave policy in employee handbook |

Common TX Compliance Pitfalls

- **Workers' comp opt-out risk:** TX's optional workers' comp system means some employers "self-insure" informally. A remote worker home injury without coverage creates direct company liability.
- **AI tool oversight:** Many HR teams don't track whether their ATS, video interviewing tool, or performance software uses AI. HB 149 requires proactive review, not reactive compliance.

1. Key Wage Laws

Metric	2026 Rate / Rule	Notes
State Minimum Wage (through Sept 29)	\$14.00/hr	Rate in effect until September 30, 2026
State Minimum Wage (from Sept 30)	\$15.00/hr	Final step of multi-year Amendment 2 increase
Overtime	1.5x after 40 hrs/week	Federal FLSA standard
Exempt Salary Threshold	\$58,656/year (federal)	Florida adopts federal threshold
Pay Frequency	No state mandate (must be consistent)	Employer establishes schedule; must be consistent

2. Mandatory Leave Policies

Leave Type	Entitlement	Key Details
Paid Sick Leave	No state mandate	State law preempts local ordinances (no local mandates permitted)
Paid Family Leave	No state mandate	Federal FMLA (unpaid, 12 weeks) only
Jury Duty	Required (unpaid)	Cannot retaliate; check employer size for pay requirements
Domestic Violence Leave	3 days paid leave	For employees who are victims of domestic violence (50+ ee employers)

3. Remote Work Specific Regulations

- **September 30 Wage Floor Bump:** On September 30, 2026, the minimum wage jumps from 14.00 to 15.00/hr. Payroll systems must be updated before this date. This is a hard statutory deadline and non-compliance from October 1 onward creates immediate back-pay liability.
- **No Local Paid Leave Preemption:** Florida state law prevents cities and counties from mandating paid sick or family leave for private employers. Only state and federal laws apply.
- **Non-Compete Agreements:** Florida has one of the most employer-favorable non-compete frameworks in the nation. Non-compete, non-solicitation, and non-disclosure agreements are presumed valid if they protect a legitimate business interest.
- **Electronic Notices:** Employers must make all required FL and federal labor law notices electronically accessible to fully remote workers.

4. Audit Verification Checklist

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| ☐ Minimum wage update to \$15.00/hr scheduled before Sept 30, 2026 | ☐ FMLA administration in place for eligible FL employees (50+ employees) |
| ☐ Consistent pay frequency established and communicated | ☐ Domestic violence leave policy in place (50+ employee employers) |
| ☐ Electronic labor law posters distributed to FL remote staff | ☐ Jury duty policy current and non-retaliatory |
| ☐ Tipped minimum wage applied correctly if applicable ($8.98/hr + tips = 15.00$) | |

Common FL Compliance Pitfalls

- **Sept 30 mid-year increase:** Unlike most states that adjust wages on January 1, Florida adjusts on September 30. HR calendars set for January reviews will miss this deadline.
- **Tipped employee calculations:** The tipped credit rate also adjusts on Sept 30. Employers who calculate incorrectly after the increase owe the full \$15/hr base.

1. Key Wage Laws

Metric	2026 Rate / Rule	Notes
State Minimum Wage	\$15.00/hr	Chicago: \$16.60/hr (as of July 2025)
Overtime	1.5x after 40 hrs/week	FLSA standard; no daily OT
Exempt Salary Threshold	\$58,656/year (federal)	Illinois does not set a higher state threshold currently
Pay Frequency	At least semi-monthly	Executives/professional/admin may be paid monthly

2. Mandatory Leave Policies

Leave Type	Entitlement	Key Details
Paid Leave for All Workers Act	40 hrs paid leave / year for ANY reason	No justification required; accrues 1 hr / 40 hrs worked
Family & Medical Leave (FMLA)	12 weeks unpaid (federal)	Covered employers (50+ employees)
NICU Leave (NICLA)	10–20 days unpaid, job-protected	Effective June 1, 2026; applies when employee's child is in NICU
Nursing Mothers	Paid break time to express breast milk	Reasonable break time; dedicated private space required
Bereavement Leave	Varies by employer size and relationship	IL law requires unpaid leave for certain bereavements; check policy

3. Remote Work Specific Regulations

- **Digital Labor Law Posting (Explicit Requirement):** Illinois law expressly requires employers to digitally distribute all mandatory labor law notices to employees who do not regularly report to a physical office. Document the distribution method and delivery confirmation.
- **Illinois Workplace Transparency Act (IWTA) Amendments:** Expands "unlawful employment practice" definition. Prohibits using out-of-state choice-of-law or venue provisions in employment contracts for IL-based employees. Remote workers' contracts must be governed by IL law if they work in IL.
- **AI in Employment (Effective Jan 1, 2026):** Prohibits using AI in any employment decision that has a discriminatory effect based on protected class or zip code. Employers must notify applicants and employees in writing when AI tools are used in employment decisions.

- **Expense Reimbursement (IWPCA):** IL employers must reimburse employees for all necessary business expenditures incurred in the course of employment. Applies to remote work costs.

4. Audit Verification Checklist

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| ☐ Minimum wage confirmed (15.00 <i>IL</i> / 16.60 Chicago) | ☐ "Paid Leave for All Workers" 40-hr bank active and accruing |
| ☐ NICU Leave (NICLA) policy added (effective June 1, 2026) | ☐ AI notice provided to all applicants/employees where AI tools are used |
| ☐ AI tools audited for discriminatory impact by zip code or protected class | ☐ IL employment contracts use IL law/venue (not out-of-state choice of law) |
| ☐ Digital labor law posters distributed and documented for remote workers | ☐ Expense reimbursement policy covers remote work expenditures |
| ☐ Nursing mother break time policy and private space policy in place | |

Common IL Compliance Pitfalls

- **"Any reason" leave:** Many employers conflate the IL "Paid Leave for All Workers" law with sick leave. It is a fully discretionary paid leave bank — employees do not need to provide a reason, and employers cannot ask. Denying leave or requiring justification is a direct violation.
- **Out-of-state contract clauses:** Contracts with IL remote employees drafted under another state's law may now be unenforceable in IL courts. Review all remote worker contracts.

1. Key Wage Laws

Metric	2026 Rate / Rule	Notes
State Minimum Wage	\$15.16/hr	Adjusts annually; Denver may have higher local rate
Overtime — Weekly	1.5x after 40 hrs/week	COMPS Order applies
Overtime — Daily	1.5x after 12 hrs/day or 12 consecutive hours	CO unique: daily OT kicks in at 12 hrs (vs CA's 8 hrs)
Exempt Salary Threshold	\$57,784/year	Slightly below federal; verify both thresholds are met
Pay Frequency	At least monthly	More frequent is common and permissible

2. Mandatory Leave Policies

Leave Type	Entitlement	Key Details
FAMLI (State Paid Leave)	Up to 12 weeks (+ 4 weeks NICU in 2026)	2026 premium: 0.88% of wages; split employer/employee
HFWA Paid Sick Leave	1 hr / 30 hrs worked; up to 48 hrs/yr	Healthy Families and Workplaces Act
FMLA (Federal)	12 weeks unpaid	Runs concurrently with FAMLI where applicable

3. Remote Work Specific Regulations

- **Equal Pay for Equal Work Act (EPEWA):** Arguably the most sweeping pay transparency law in the U.S. ANY employer with even one CO employee must include wage range, benefits summary, and application deadline in all job postings. This explicitly includes remote-eligible roles. Also requires employers to notify ALL CO employees of internal promotional opportunities and open positions before or concurrent with any external posting.
- **COMPS Order Record-Keeping:** Updated COMPS Order #40 requires employers to track accrued vacation pay and paid sick leave as earned wages. These must appear on pay stubs and be maintained as wage records. Failure to track is equivalent to failing to pay wages.
- **Electronic Notices:** All required CO labor law notices must be electronically accessible to remote workers.

4. Audit Verification Checklist

- ☐ Minimum wage confirmed at \$15.16/hr (or Denver local if applicable) ☐ Daily overtime programmed for 12+ hrs/day threshold

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| ☐ Exempt threshold at 57,784/yr (CO) AND 58,656 (federal) — use higher | ☐ FAMI premiums deducted and remitted at 0.88% rate |
| ☐ HFWA sick leave accruing at 1 hr / 30 hrs, up to 48 hrs | ☐ All CO job postings include wage range, benefits, and application deadline |
| ☐ Internal promotion opportunities posted to all CO employees simultaneously | ☐ Vacation and sick leave accruals tracked as earned wages on pay stubs |
| ☐ Electronic labor law posters distributed to CO remote employees | |

Common CO Compliance Pitfalls

- **Job posting exemption myth:** Some employers believe they can exclude CO from a remote job posting to avoid pay transparency. The EPEWA closes this loophole: if the job can be performed by a CO resident, the disclosure requirement applies.
- **Internal promotion posting:** Failing to notify existing CO employees of internal opportunities BEFORE or SIMULTANEOUSLY with external postings is one of the most commonly overlooked EPEWA requirements.

1. Key Wage Laws

Metric	2026 Rate / Rule	Notes
Portland Metro Minimum Wage	\$16.80/hr	Effective July 1, 2026
Standard Counties Minimum Wage	\$15.55/hr	Effective July 1, 2026
Non-Urban Counties Minimum Wage	\$14.55/hr	Effective July 1, 2026; check county classification
Overtime	1.5x after 40 hrs/week	FLSA standard; no daily OT rule (except specific industries)
Exempt Salary Threshold	\$58,656/year (federal)	Oregon adopts federal threshold
Pay Frequency	At least every 31 days (monthly)	Final pay: within 5 days or next regular payday if sooner

2. Mandatory Leave Policies

Leave Type	Entitlement	Key Details
Paid Leave Oregon	Up to 12 weeks paid family, medical, safe leave	Applies to employers with 1+ employee; small employer subsidies available
Paid Sick Leave	1 hr / 30 hrs worked; 40 hrs/yr cap (10+ employees)	Expanded 2026: now covers time for blood donation
FMLA (Federal)	12 weeks unpaid	Runs concurrently with Paid Leave Oregon

3. Remote Work Specific Regulations

- **Mid-Year Wage Adjustment (July 1):** Unlike most states, Oregon's minimum wage adjusts on July 1, not January 1. Payroll systems updated in January will miss this adjustment. Build a July 1 payroll review into your compliance calendar.
- **Three-Tier System:** Remote employees' pay tier is determined by the county in which they physically work. If an employee moves from Portland to a rural county (or vice versa), the applicable minimum wage tier changes. HR must track employee home county, not just "Oregon."
- **Expanded Pay Statements (2026):** New hires must receive a detailed written explanation of their pay rate, all deductions, and all benefits at the time of hire. This statement must be updated annually for all employees.
- **Hiring Age Inquiry Prohibition (2026):** Employers generally may not ask for an applicant's age or date of birth before an initial interview or conditional offer of employment.

4. Audit Verification Checklist

- | | |
|---|---|
| ☐ Correct wage tier applied based on employee's Oregon county | ☐ July 1, 2026 wage increase programmed in payroll system |
| ☐ Paid Leave Oregon contributions deducted and remitted | ☐ Paid sick leave accruing at 1 hr / 30 hrs (blood donation use added) |
| ☐ Detailed pay statement provided to all new hires | ☐ Annual pay statement update provided to existing employees |
| ☐ No age/DOB inquiries before initial interview or conditional offer | ☐ Final pay within 5 business days when employment ends |

Common OR Compliance Pitfalls

- **Tier tracking failure:** An employee who moves from a Portland suburb to a rural Oregon county changes wage tiers. Employers using a single "Oregon" rate rather than county-specific rates may be overpaying or underpaying.
- **July 1 calendar miss:** The most common OR compliance failure is simply missing the July 1 effective date because HR teams only review wages at year-end.

1. Key Wage Laws

Metric	2026 Rate / Rule	Notes
State Minimum Wage	\$15.00/hr	Tipped employees: \$6.75/hr + tips must equal minimum wage
Overtime	1.5x after 40 hrs/week	FLSA standard; Sunday premium pay rules also apply in some industries
Exempt Salary Threshold	\$58,656/year (federal)	MA adopts federal threshold
Pay Frequency	Weekly or bi-weekly (most employees)	Some exceptions for monthly; varies by employee type

2. Mandatory Leave Policies

Leave Type	Entitlement	Key Details
MA Paid Family & Medical Leave (PFML)	Up to 26 weeks (combined family + medical) paid	2026 max weekly benefit: \$1,230.39; new W-2 reporting required
Earned Sick Time	1 hr / 30 hrs worked; up to 40 hrs/yr	Paid for employers with 11+ employees; accrues from day 1
Domestic Violence Leave	15 days paid/year	Employers with 50+ employees; victims of abuse
Small Necessities Leave	24 hrs/yr unpaid	School activities, medical appointments; 50+ employee employers

3. Remote Work Specific Regulations

- **Pay Transparency Act (2025/2026):** Enacted in late 2025 and effective in 2026, this law requires employers with 25 or more MA employees to include wage ranges in all job postings, including for remote roles that could be filled by a MA-based worker.
- **PFML W-2 Reporting Change (2026):** Federal tax rules effective for tax year 2026 require the employer-funded portion of MA PFML medical leave benefits to be separately reported as third-party sick pay (wages) on employee W-2 forms. Payroll systems must be updated for this new reporting requirement.
- **EEO Reporting (Deadline Feb 2, 2026):** Employers with 100+ employees in MA must submit their federal EEO-1 reports to the Commonwealth annually. The 2026 deadline was February 2, 2026.
- **Electronic Notices:** MA requires all mandatory labor law posters to be electronically distributed to remote employees.

4. Audit Verification Checklist

- | | |
|--|--|
| ☐ Minimum wage confirmed at \$15.00/hr | ☐ PFML contributions deducted and remitted at correct rates |
| ☐ PFML W-2 reporting updated for 2026 employer-funded medical leave | ☐ Weekly/bi-weekly pay frequency maintained |
| ☐ Earned sick time accruing (paid if 11+ employees) | ☐ Pay ranges included in all MA-visible job postings (25+ ee employers) |
| ☐ EEO report filed with Commonwealth (100+ employees, annual) | ☐ Domestic violence leave policy in place (50+ employee employers) |
| ☐ Electronic labor law posters distributed to MA remote staff | |

Common MA Compliance Pitfalls

- **PFML W-2 change:** The new federal requirement to separately report employer-funded medical leave on W-2s is a brand-new change for tax year 2026. Many payroll systems need manual configuration to handle this correctly. Failure creates W-2 reporting errors subject to IRS penalties.
- **Pay frequency:** MA's default requirement for weekly or bi-weekly pay is stricter than many states. Employers who move employees to semi-monthly pay without authorization are in violation.

1. Key Wage Laws

Metric	2026 Rate / Rule	Notes
State Minimum Wage	\$15.92/hr	Effective January 1, 2026; adjusted annually for inflation
Overtime	1.5x after 40 hrs/week	FLSA standard; no daily OT rule
Exempt Salary Threshold	\$58,656/year (federal)	NJ currently adopts federal threshold
Pay Frequency	At least semi-monthly (twice/month)	Many employers pay bi-weekly; either is compliant

2. Mandatory Leave Policies

Leave Type	Entitlement	Key Details
NJ Earned Sick Leave	1 hr / 30 hrs worked; up to 40 hrs/yr	All private employers; no minimum employee count
NJ Family Leave Insurance (FLI)	Up to 12 weeks partial pay	Bonding, care for family member; state-administered
NJ Family Leave Act (NJFLA)	12 weeks unpaid, job-protected	Employers with 30+ employees; covers more family members than FMLA
FMLA (Federal)	12 weeks unpaid	Concurrent with NJFLA for covered employers

3. Remote Work Specific Regulations

- **Worker Classification ABC Test (Effective Oct 1, 2026):** New NJ rules clarify the strict "ABC test" for independent contractor vs. employee status. Critically for remote workers, a worker's home office is NOT considered the employer's "place of business" under Part B of the ABC test. This makes it significantly harder to classify remote workers as independent contractors in NJ.
- **NJ WARN Act:** NJ's WARN Act (100+ employees, 60 days notice for mass layoffs) requires mandatory severance pay — even if proper notice was given. Remote workers are explicitly covered. Any mass layoff action affecting NJ remote employees triggers WARN obligations.
- **Pay Transparency:** NJ's Pay Transparency Act (effective late 2025) requires employers to include wage range, benefits, and compensation type in job postings. NJ enforcement rules still being finalized for 2026.
- **Mandatory Notices:** Employers must post and distribute the NJ CEPA notice, Gender Equity Notice, and other required postings. Electronic distribution is required for remote employees.

4. Audit Verification Checklist

- | | |
|--|--|
| ☐ Minimum wage confirmed at \$15.92/hr (effective Jan 1, 2026) | ☐ Semi-monthly or bi-weekly pay frequency maintained |
| ☐ NJ Earned Sick Leave accruing at 1 hr / 30 hrs (all employers) | ☐ FLI and NJ SDI payroll deductions calculated and remitted |
| ☐ Worker classification reviewed under ABC test (Oct 1, 2026 rules) | ☐ Any gig/contractor arrangements reviewed under updated ABC test |
| ☐ NJ WARN Act obligations understood for any potential RIF/layoff | ☐ Pay range & benefits included in NJ job postings |
| ☐ CEPA and Gender Equity notices distributed electronically to remote staff | ☐ NJFLA eligibility reviewed (30+ employee threshold) |

Common NJ Compliance Pitfalls

- **ABC test + home office:** The Oct 1, 2026 clarification specifically targets employers who argued a worker's home office made them an independent "place of business." This defense no longer works in NJ. Review all 1099 relationships with NJ-based workers immediately.
- **WARN Act severance:** Unlike federal WARN (which only requires notice, not severance), NJ's WARN Act mandates severance pay for covered mass layoffs even when notice was properly given. This creates a mandatory financial liability that cannot be waived.

Section 4: 2026 Trigger Alert Map

How to Use This Map: Review this table at the start of each month. Any item with an effective date in the current or upcoming month should be flagged as "action required" and assigned to a specific compliance owner with a deadline. Priority levels (High/Medium/Low) reflect the potential financial and legal exposure from non-compliance.

State	Regulatory Change	Effective Date	Action Required	Priority
Federal	W-2 separate reporting of qualified overtime pay (OBBBA)	Tax Year 2026 (Jan 1, 2026)	Configure payroll system to separately track and report qualified OT compensation on W-2s for all employees	HIGH
CA	AB 692: Ban on training repayment/stay-or-pay clauses	Jan 1, 2026	Review and void any existing contracts with training repayment or relocation clawback provisions for CA employees	HIGH
CA	SB 294: Annual Workplace Know Your Rights Notice	Feb 1, 2026 (annually)	Send standalone written notice of worker rights to ALL CA employees by February 1 each year; document distribution	HIGH
CA	Minimum wage increase to \$16.90/hr	Jan 1, 2026	Update payroll system; recalculate exempt threshold (now \$70,304/yr); update offer letters and contracts	HIGH
CA	Paid sick leave expanded to crime victims	Jan 1, 2026	Update sick leave policy; train managers on expanded permissible use reasons	MED
NY	Minimum wage increase (NYC/downstate 17; <i>upstate</i> 16)	Jan 1, 2026	Apply correct regional rate; update offer letters; recalculate exempt thresholds by region	HIGH
NY	"Trapped at Work Act": Ban on training repayment clauses	Jan 1, 2026	Audit all NY employment contracts; remove or void any training repayment or stay-or-pay provisions	HIGH
NY (NYC)	ESSTA Amendment: New 32-hr unpaid leave bank	Feb 22, 2026	Create a separate 32-hour unpaid leave bank in HRIS for all NYC-based employees; update leave policies	HIGH
NY	Prohibition on credit history in employment decisions	Jan 1, 2026	Remove credit history inquiries from applications, background check authorizations, and screening processes	MED

WA	Minimum wage increase to 17.13/hr; <i>exempt threshold</i> 80,168.40	Jan 1, 2026	Update payroll; review all WA exempt employees against \$80,168.40 threshold; reclassify if below	HIGH
WA	PFML: Job protection at 180 days; minimum claim reduced to 4 hrs	Jan 1, 2026	Update PFML eligibility tracking; employees now eligible for job protection after 180 days (not 12 months)	HIGH
WA	Expanded DV Leave: Covers hate crime victims and family	Jan 1, 2026	Update domestic violence leave policy to include hate crime victims and their family members	MED
TX	HB 149: Responsible AI Governance Act	Jan 1, 2026	Audit all AI tools used in hiring, performance management, or employment decisions for discriminatory impact	HIGH
FL	Minimum wage increase from 14 to 15/hr	Sept 30, 2026	Schedule payroll system update before Sept 30; alert payroll team to mid-year deadline; update tipped worker calculations	HIGH
IL	AI in Employment: Discrimination ban & disclosure requirement	Jan 1, 2026	Audit AI/algorithmic tools; send written AI-use notices to all applicants and employees where applicable	HIGH
IL	NICLA: NICU Parental Leave Act	June 1, 2026	Add NICU leave policy (10–20 days unpaid/job-protected) to employee handbook; train managers	HIGH
IL	IWTA Amendments: IL choice-of-law requirement	Jan 1, 2026	Review and update all IL employment contracts; remove out-of-state choice-of-law provisions for IL-based workers	MED
CO	FAMLI premium rate decrease to 0.88%	Jan 1, 2026	Update FAMLI payroll deduction rate; verify both employer and employee share calculations are updated	MED
CO	FAMLI: New 4-week NICU leave benefit	Jan 1, 2026	Update FAMLI leave policy to reflect 16 weeks total (12 + 4 NICU); notify all CO employees of expanded benefit	MED
OR	Three-tier minimum wage increase	July 1, 2026	Schedule payroll update for July 1; verify all OR employee county tiers; update offer letters accordingly	HIGH
OR	Expanded pay statements; hiring age prohibition	Jan 1, 2026	Provide detailed pay statement at hire and annually; remove age/DOB from pre-interview application forms	MED
OR	Paid sick leave: Expanded to cover blood donation	Jan 1, 2026	Update sick leave policy documentation to include blood donation as a permissible use reason	LOW
MA	Pay Transparency Act: Salary range disclosure in postings	Jan 1, 2026	Include pay range, benefits, and compensation type in all MA job postings (25+ employee employers)	HIGH
MA	PFML: New W-2 reporting for employer-funded medical leave	Tax Year 2026	Update payroll software to separately report employer-funded MA PFML medical leave benefits on W-2 forms	HIGH
NJ	Minimum wage increase to \$15.92/hr	Jan 1, 2026	Update payroll; review all NJ hourly and non-exempt salaried employees; update offer letters	HIGH

NJ	ABC Test rules: Home office not "place of business" for IC test	Oct 1, 2026	Audit all NJ independent contractor relationships; reclassify workers whose classification relied on home-office argument	HIGH
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Priority Action Summary

Based on the table above, here are the immediate-action items requiring completion by Q3 2026:

HIGH PRIORITY (Act Now) • CA, NY, WA, NJ minimum wage updates • CA AB 692 / NY "Trapped at Work" contract review • WA exempt threshold (\$80,168.40) check • NYC ESSTA 32-hr bank (Feb 22) • TX AI governance audit (HB 149) • IL AI disclosure to employees • MA pay transparency postings • Federal W-2 OT reporting setup	MEDIUM PRIORITY (Q2-Q3) • IL NICU Leave policy (June 1) • FL minimum wage update (Sept 30) • OR July 1 wage tier adjustment • CO FAMLI rate & NICU benefit • IL employment contract law updates • WA PFML eligibility rule update • OR hire age inquiry prohibition	ONGOING MONITORING • NJ ABC test rules (Oct 1) • MA PFML W-2 reporting (tax yr) • NYC pay data reporting rules • NJ pay transparency finalization • CA pay data reporting deadline • OR sick leave blood donation update • Federal contractor classification RFI
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Section 5: Weekly Internal Audit Template

Estimated completion time: 15 minutes. Print, complete, sign, and file in your compliance records. Complete weekly or at each payroll cycle.

REMOTEREADY WEEKLY COMPLIANCE VERIFICATION — 15-MINUTE AUDIT WORKSHEET

Week of: _____ Payroll Cycle: _____

Completed by: _____ Title: _____

Active Remote States This Cycle: _____

A. WAGE CALCULATIONS VERIFICATION

- ☐ **Minimum wage check:** Verified that all non-exempt employees in each active state are being paid at or above the current applicable minimum wage (including any city/county premiums)
- ☐ **Overtime calculations:** Confirmed overtime is correctly calculated for this pay period. Note: CA employees — daily OT verified (8/12 hr thresholds); CO employees — 12-hr daily threshold checked; all other states — 40-hr weekly threshold applied
- ☐ **Exempt salary verification:** Spot-checked at least one exempt employee per active state to confirm salary meets the applicable state threshold (especially WA at 80,168.40 and CA at 70,304)
- ☐ **Pay frequency compliance:** Confirmed payroll is processing on the correct schedule for each active state (weekly for NY manual workers, bi-weekly/semi-monthly for others)
- ☐ **Deductions review:** Verified that all applicable state payroll deductions are being withheld (WA PFML, CO FAMILI, MA PFML, NY PFL, NJ SDI/FLI)
- ☐ **Expense reimbursements:** Confirmed any pending reimbursement claims for CA and IL remote workers have been processed within the required timeframe

B. LEAVE ACCRUALS REVIEW

- ☐ **Sick leave accrual running:** Verified paid sick leave is accruing for all eligible employees in active leave-mandate states (CA, NY, WA, IL, CO, OR, MA, NJ) at correct state rates
- ☐ **IL "Any Reason" leave:** Confirmed IL employees' 40-hour discretionary paid leave bank is accruing and that no requests for justification were made by managers this week
- ☐ **State paid family leave:** Checked that any active PFML/PFL/FAMLI/Paid Leave Oregon claims are being processed correctly and that job protection obligations are being honored
- ☐ **Leave balance accuracy:** Spot-checked at least two employee leave balances in HRIS against payroll system records for accuracy and consistency
- ☐ **Carry-over compliance:** If any leave balances were reset or capped this week, verified the reset/cap is permitted under applicable state law (WA sick leave has no cap or expiration)

C. NEW HIRE COMPLIANCE CHECKS

- ☐ **New hire state identified:** For each new hire this week, confirmed their physical work state is correctly recorded in payroll and HRIS systems
- ☐ **State-specific onboarding:** Verified that state-specific new hire notices, tax forms (state W-4 equivalent), and benefits enrollment materials have been sent for each new hire's work state
- ☐ **Electronic labor law posters:** Confirmed remote new hires received electronic access to all applicable federal and state labor law notices and that delivery was documented
- ☐ **Worker classification review:** Verified each new hire's classification (employee vs. independent contractor) is appropriate under the applicable state law, particularly for NJ (ABC test), CA (ABC test), and MA (ABC test)
- ☐ **Contract review:** Confirmed any employment contract for a CA, NY, or IL employee does not contain a prohibited training repayment or out-of-state choice-of-law clause
- ☐ **Offer letter wage range:** Verified offer letters for CO, WA, MA, NY, and NJ new hires included the required wage range and benefits disclosure

D. RECENT REGULATION CHANGES CHECK

- ☐ **Trigger Alert Map review:** Reviewed the 2026 Trigger Alert Map (Section 4) for any regulatory changes with an effective date in the current or next 30 days
- ☐ **Outstanding action items:** Verified that all high-priority items from previous weeks' audit have been actioned or escalated to a decision-maker with a set deadline
- ☐ **Upcoming Q3 items:** (*June–September*) Confirmed preparations are in progress for IL NICU Leave (June 1), OR wage increase (July 1), FL wage increase (Sept 30), and NJ ABC test rules (Oct 1)
- ☐ **AI tool check:** Confirmed that any AI-assisted hiring, screening, or performance tools in use for TX or IL employees are operating within HB 149 / IL AI law requirements; disclosure notices sent

E. MULTI-STATE EMPLOYEE VERIFICATION

- ☐ **State residency confirmation:** No employees have relocated to a new state this week without HR being notified and the payroll system being updated accordingly
- ☐ **Payroll tax nexus:** Confirmed that the company is registered to withhold and remit payroll taxes in all states where employees currently work remotely
- ☐ **Benefits portability:** Reviewed whether any employees who changed states this period need to be enrolled in a new state's mandatory leave program (WA PFML, CO FAMLI, NJ FLI, MA PFML, NY PFL, CA PFL, OR Paid Leave)
- ☐ **Multi-state conflicts:** For any employee who works across state lines, confirmed that the more protective state law is being applied (e.g., higher minimum wage, stricter overtime, more generous leave)

NOTES / ACTION ITEMS THIS WEEK

Describe any open issues, escalations, or items requiring follow-up action...

SIGN-OFF & ATTESTATION

By signing below, I attest that the above compliance checks have been completed to the best of my knowledge for the pay period indicated, and that all identified issues have been escalated or remediated as noted above.

Payroll Manager / HR Lead Signature

Date Completed

Printed Name

Next Review Date

Reviewed by (Manager/Director — if required by policy)

Retain completed worksheets for a minimum of 3 years. These records may be requested during a state labor department audit or in wage-and-hour litigation.

Section 6: Quick Reference Guides

Federal vs. State Law Hierarchy

Understanding how federal and state laws interact is essential for multi-state compliance. The rule is not "federal law wins." The rule is: **the law more protective of the employee applies.**

Topic	Federal Baseline	State-Level Higher Standard (Examples)	Which Applies?
Minimum Wage	\$7.25/hr	CA 16.90, WA 17.13, NJ \$15.92	Always the higher rate
Overtime Threshold	40 hrs/week	CA: 8 hrs/day; CO: 12 hrs/day	Whichever triggers OT sooner
Exempt Salary	\$58,656/yr	WA 80,168.40; CA 70,304; NY up to \$66,300	Higher state threshold applies in that state
Family/Medical Leave	12 weeks unpaid (FMLA)	CA PFL (8 wks paid); NY PFL (12 wks paid); MA PFML (up to 26 wks paid)	Both apply; state program adds paid benefits on top of FMLA
Paid Sick Leave	None mandated	CA, NY, WA, IL, CO, OR, MA, NJ all mandate paid sick leave	State law governs
Pay Transparency	None mandated	CO, WA, MA, NY, NJ all require salary range disclosure	State law governs; apply where employee is located
Non-Compete	No federal law (FTC rule blocked)	CA: void/unenforceable; MN: banned; TX/FL: enforceable with restrictions	State law governs; most protective to employee applies
Worker Classification	FLSA economic realities test	CA, NJ, MA: strict ABC test	Stricter state test governs for state-law purposes

Key Principle: Jurisdictional Stacking

Federal, state, and local laws operate simultaneously. For an employee in San Francisco, you must comply with: federal FLSA, California state labor law, AND San Francisco local ordinances (including the SF minimum wage, which may exceed the state rate). The employer is always bound by the most employee-protective standard at each level.

The "Work Location" Rule for Remote Employees

For remote workers, the applicable state is the state in which the employee *performs their work*, not where the company is incorporated or where the employer's office is located. A California-incorporated company with employees working from New York is subject to New York law for those employees.

This has payroll tax implications as well: employers must register and remit payroll taxes in every state where they have employees performing work, regardless of company headquarters. Ignoring this creates both tax exposure and labor law non-compliance simultaneously.

When to Consult Legal Counsel

The following situations require immediate engagement of qualified employment law counsel. Do not attempt to self-resolve these issues using this kit or any other non-legal resource:

Situation	Risk Level	Why Legal Counsel Is Required
Employee files a wage or hour complaint	HIGH	Complaint triggers statute of limitations; early attorney involvement can limit liability and settlement costs
State labor department audit or investigation	HIGH	Agency audits have subpoena power; incorrect responses create additional liability
Class action wage and hour lawsuit	HIGH	Class actions require immediate legal strategy; settlements can reach seven figures
Mass layoff or RIF involving multiple states	HIGH	Federal WARN + state WARN laws (NJ, CA, NY) have mandatory notice AND severance requirements; violations are strict liability
Reclassifying workers from IC to employee (or vice versa)	HIGH	Creates retroactive tax, benefit, and wage liability; requires structured corrective action plan
Employee complaint involving discrimination or retaliation	HIGH	Multiple overlapping state and federal anti-retaliation laws; early documentation is critical
Implementing AI in hiring for CA, IL, TX, NY employees	MED	Rapidly evolving law; disparate impact liability is unclear; vendor contracts must be reviewed
Drafting non-compete or training repayment clauses	MED	Now void in CA and NY; must be carefully scoped in other states; invalid clauses create litigation risk
Hiring a first employee in a new state	MED	Requires payroll tax registration, state-specific policy review, and sometimes physical office or registered agent setup
Substantial change in a state's leave or wage law	LOW	Annual review with counsel is best practice; some changes have retroactive application

Useful Resources & Agency Links

The following government agencies and authoritative resources should be your primary reference for verifying current regulatory requirements. This kit supplements but does not replace these official sources.

Jurisdiction	Primary Agency	Website
Federal	U.S. Dept. of Labor — Wage & Hour Division	dol.gov/agencies/whd

Federal	Equal Employment Opportunity Commission (EEOC)	eeoc.gov
Federal	IRS Employment Tax Resources	irs.gov/businesses/small-businesses-self-employed/employment-taxes
California	CA Labor Commissioner's Office (DLSE)	dir.ca.gov/dlse
California	CA Employment Development Dept. (EDD) — PFL/SDI	edd.ca.gov
New York	NY Dept. of Labor	labor.ny.gov
New York	NY Workers' Compensation Board — PFL	wcb.ny.gov/content/main/forms/pfl/pfl.jsp
Washington	WA Dept. of Labor & Industries (L&I)	lni.wa.gov
Washington	WA Employment Security Dept. — PFML	paidleave.wa.gov
Texas	TX Workforce Commission — Labor Law	twc.texas.gov
Florida	FL Dept. of Economic Opportunity / FDEO	floridajobs.org
Illinois	IL Dept. of Labor (IDOL)	labor.illinois.gov
Colorado	CO Dept. of Labor & Employment (CDLE)	cdle.colorado.gov
Colorado	CO FAMLI Division	famli.colorado.gov
Oregon	OR Bureau of Labor and Industries (BOLI)	oregon.gov/boli
Oregon	OR Paid Leave Program	paidleave.oregon.gov
Massachusetts	MA Dept. of Labor Standards	mass.gov/orgs/departments-of-labor-standards
Massachusetts	MA Dept. of Family & Medical Leave	mass.gov/pfml
New Jersey	NJ Dept. of Labor & Workforce Development	nj.gov/labor
New Jersey	NJ Division on Civil Rights	njoag.gov/civil-rights

Section 7: Glossary of Key Terms

ABC Test

A three-part test used by several states (CA, NJ, MA, IL, WA) to determine whether a worker is an employee or an independent contractor. To be classified as an independent contractor, ALL THREE conditions must be met: (A) the worker is free from the control of the hiring company; (B) the worker performs work outside the usual course of the company's business; and (C) the worker is customarily engaged in an independently established trade or occupation. Failing any one part of the test means the worker is an employee under state law.

At-Will Employment

A doctrine, applicable in most U.S. states, under which an employment relationship can be terminated by either party at any time, with or without cause, with or without notice, unless an employment contract, collective bargaining agreement, or specific law (such as anti-discrimination statutes) provides otherwise. California, New York, and most other states maintain at-will employment with significant exceptions.

COMPS Order (Colorado)

Colorado's Overtime and Minimum Pay Standards (COMPS) Order, issued annually by the Colorado Department of Labor and Employment (CDLE). The COMPS Order is the primary source of Colorado's minimum wage, overtime, and wage record-keeping requirements. It also establishes the state's daily overtime rule (1.5x for hours over 12 in a day or over 12 consecutive hours).

Daily Overtime

An overtime rule, applicable in California (at 8 hours) and Colorado (at 12 hours), that requires overtime pay to be calculated based on hours worked in a single workday, in addition to the standard federal weekly (40-hour) threshold. A California employee who works 10 hours in a single day is entitled to 2 hours of overtime pay, even if they only work 35 hours total for the week.

EPEWA (Colorado Equal Pay for Equal Work Act)

Colorado's comprehensive pay transparency and pay equity law. Requires employers with at least one Colorado employee to include the wage range, benefits summary, and application deadline in all job postings. Also requires employers to notify all current Colorado employees of internal promotional opportunities. The law applies to remote-eligible job postings even if the company has no physical office in Colorado.

Exempt Employee

An employee who is not entitled to minimum wage and overtime protections under applicable law (federal FLSA or state law), typically because they meet both a salary basis test (earning at least a minimum salary threshold) and a duties test (primarily performing executive, administrative, or professional work). The specific salary thresholds vary significantly by state: WA requires 80,168.40/year; *CA requires* 70,304/year; compared to the federal minimum of \$58,656/year.

FAMLI (Colorado Family and Medical Leave Insurance)

Colorado's state-run paid family and medical leave insurance program. Provides up to 12 weeks (plus up to 4 additional NICU weeks as of 2026) of paid leave for qualifying family and medical reasons. Funded by payroll premiums shared between employers and employees. The 2026 premium rate is 0.88% of wages.

FMLA (Family and Medical Leave Act)

The federal law that provides eligible employees of covered employers (50+ employees) with up to 12 weeks of unpaid, job-protected leave per year for specified family and medical reasons, including the birth of a child, adoption, serious health condition, or qualifying military exigency. FMLA does not require paid leave; many states have layered paid leave programs on top of FMLA that run concurrently.

Independent Contractor (IC)

A worker classified as self-employed who provides services to a business under a contract, rather than as an employee. Independent contractors are not entitled to minimum wage, overtime, paid leave, unemployment insurance, workers' compensation, or employer-sponsored benefits. Misclassifying an employee as an independent contractor is one of the most common and costly labor law violations, particularly in states with an ABC test (CA, NJ, MA).

Job Protection

A legal guarantee that an employee who takes leave (under FMLA, state paid leave programs, or other protected leave laws) has the right to return to the same or a substantially equivalent position at the same pay and benefits. Terminating or demoting an employee because they took protected leave is unlawful retaliation under both federal and state law.

Non-Exempt Employee

An employee who is covered by the minimum wage and overtime protections of the FLSA and applicable state law. Non-exempt employees must be paid at least the applicable minimum wage for all hours worked and must receive overtime pay (at least 1.5 times their regular rate) for hours exceeding the applicable threshold (weekly and/or daily depending on the state).

Pay Frequency

The schedule on which employees are paid wages. State laws establish minimum pay frequency requirements that vary considerably: New York requires weekly pay for "manual workers"; Massachusetts requires weekly or bi-weekly pay for most employees; other states (TX, CO, OR) require payment at least twice a month or monthly. Employers must comply with the most frequent applicable requirement.

Pay Transparency

Laws requiring employers to disclose wage or salary ranges (and sometimes benefits information) in job postings and/or upon employee request. As of 2026, mandatory pay transparency applies in Colorado (EPEWA), Washington (EPOA), New York, New Jersey, and Massachusetts. These laws apply to remote job postings if an employee in the covered state could be hired for the role.

PFML / PFL (Paid Family and Medical Leave / Paid Family Leave)

State-administered programs that provide partial wage replacement to employees taking leave for qualifying family or medical reasons (bonding with a new child, caring for a seriously ill family member, or the employee's own serious health condition). Programs vary significantly by state in terms of duration, wage replacement rate, eligibility rules, and funding mechanism. Active programs in covered states: CA PFL (EDD), NY PFL, WA PFML, CO FAMLI, OR Paid Leave, MA PFML, NJ FLI.

Regular Rate of Pay

The rate used to calculate overtime pay, which may differ from an employee's base hourly rate. The regular rate includes most forms of compensation earned in the workweek (hourly wages, piece-rate pay, shift differentials, non-discretionary bonuses), but excludes certain payments (gifts, vacation pay, overtime premium payments). Correctly computing the regular rate, especially for employees receiving bonuses, is a common source of overtime calculation errors.

Reimbursement (Business Expense)

The repayment by an employer of out-of-pocket costs incurred by an employee in performing work. In California (Labor Code §2802) and Illinois (IWPCA), expense reimbursement is a legal mandate: employers must reimburse all necessary and reasonable business expenses. For remote workers, this typically includes a portion of internet, phone, and supply costs. Failure to reimburse is treated as a wage violation, not a breach of policy.

Stay-or-Pay Clause

A contractual provision that requires an employee to remain employed for a specified minimum period or repay a portion of employer-funded costs (training, relocation, sign-on bonus) if they leave before that period ends. As of January 1, 2026, such clauses are void and unenforceable for California employees (AB 692) and New York employees ("Trapped at Work Act"). They remain legally permissible (with restrictions) in most other states.

WARN Act

Federal and state laws requiring employers to provide advance notice before mass layoffs or plant closings. The federal WARN Act (100+ employees, 60 days notice) provides notice only. New Jersey's state WARN Act additionally requires mandatory severance pay for covered layoffs, even when proper notice was given—a significant financial liability that does not exist under federal law. Remote workers are explicitly covered by NJ WARN.

Wage and Hour Law

The body of federal and state law governing the payment of wages, including minimum wage rates, overtime pay requirements, pay frequency, timekeeping obligations, and related matters. Enforced federally by the U.S. Department of Labor's Wage and Hour Division, and at the state level by agencies such as California's Labor Commissioner, New York's Department of Labor, and their equivalents in other states. Wage and hour violations are among the most frequently litigated employment law claims.

Workweek

A fixed, regularly recurring period of 168 hours (seven consecutive 24-hour periods). Employers establish their own workweek definition (e.g., Monday through Sunday, or Saturday through Friday). The workweek is the unit over which FLSA weekly overtime is calculated. Under federal law, employers cannot average hours across two workweeks to avoid overtime. Under California law, daily overtime applies independently of the workweek definition.

RemoteReady Audit Kit — 2026 Edition

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